

Talking Points for Chief Economist

Event title	Economic Symposium, Jackson Hole, Wyoming
Date	27-29 August 2026
Comments (if relevant, otherwise delete this box)	Theme "Financial Innovation: Implications for Payments and Policy." Panel: International Experience with Payments Innovation Max. 20 mins Moderator: Kristin Forbes Panelists: • Pablo Hernández de Cos, General Manager, Bank for International Settlements • <i>Stefano Scarpetta, Chief Economist, OECD</i> • Kristalina Georgieva, Managing Director, International Monetary Fund Q&A from the Moderator and the floor (~30 mins)

Thank you Kristin,

Good morning,

It is a pleasure to be here today and to participate in this distinguished panel.

From the OECD's vantage point, my focus will be on **the linkages from innovation in finance and digital payments to productivity and broad-based growth.**

Payment innovation is ultimately about **reducing frictions in the economy.**

Every payment takes time. Every payment carries a cost. Every payment involves risks.

Reducing such frictions helps firms operate more efficiently, enables households and firms access opportunities, and allows economies to allocate resources more productively.

The central question is not whether innovation will transform payments. That is already happening. The question is **how to ensure that innovation translates into higher productivity, broader and stronger growth.**

I would like to focus on three questions:

- what is actually changing in payments, (*Pablo Hernandez already spoke extensively*)
- why it matters for growth,
- and what policymakers should do about it.

What is changing in payments

Distributed ledger technologies (DLT) have the potential to transform payments and the financial sector more broadly. In payments, this potential is most visible today in **stablecoins**, which have grown from a niche crypto-market instrument into a sizeable financial market phenomenon, with the potential to play a larger role in payments, particularly across borders.

However, **stablecoins are just one application of DLTs**. The same technology can turn traditional financial assets -- bonds, securities and funds -- into digital tokens, putting ownership and payment on a single record instead of several systems checking each other after the fact. In principle, this can lower settlement risk, open access to smaller investors through fractional ownership, and speed up the use of assets as collateral. Yet legal

and market infrastructure constraints still limit large-scale deployment.¹ Many of these legal constraints arise for legitimate regulatory objectives. But they need to be reassessed in line with emerging technologies.

Why digital innovation in financial markets matters

Whatever form digital innovation takes next, the more fundamental question is **why this matters for growth**. History provides many examples on how innovation in the financial system harnessed modern technologies to boost growth. Let me highlight one of our findings.

In a recent study focusing on 21 countries, we estimated that a 10% increase in financial-sector digitalisation is associated with a 0.1 percentage point increase in annual productivity growth for the average industry.² However the effect is more than twice as large in intangible-intensive industries, that rely more on data, R&D, and organisational capital than for industries relying more heavily on physical assets.³

¹ Cipollone, P. (2026), "Sparking the transformation of finance: tokenisation and the role of central banks," speech at the 24th Annual Symposium on Building the Financial System of the 21st Century, Harvard Law School/Program on International Financial Systems, Washington DC, 15 April 2026, ECB. <https://www.ecb.europa.eu/press/key/date/2026/html/ecb.sp260415~868b59bca9.en.html>.

² Digitalisation being measured as the sector's combined investment in digital technologies and purchases of digital services, per hour worked.

³ Bontadini, F. et al. 2024, "Digitalisation of financial services, access to finance and aggregate economic performance", OECD Economics Department Working Papers No. 1818, OECD Publishing. <https://doi.org/10.1787/10c7e583-en>

This mechanism operates mainly through **improved capital allocation to more productive firms** and **easing credit constraints** particularly for SMEs, thereby reducing the interest-rate premium faced by small firms.

There is also emerging evidence that **successful innovation in digital payments can arise in very different institutional settings.**

India's UPI (Unified Payments Interface) system, Brazil's Pix, and Poland's BLIK all follow different models. Yet they share common characteristics:

- payments are fast,
- costs are low,
- systems are widely accessible,
- and interoperability has enabled private-sector innovation on shared infrastructure.

The **same interoperability principles apply to data.** Securing sharing of payment information can support more competitive and personalised services, while giving smaller firms a stronger

basis to demonstrate their cash flow and creditworthiness beyond traditional credit histories.

The first lesson from international experience is that there is **no single model for payment innovation**. What matters is not the governance structure itself, but whether systems are accessible, interoperable and trustworthy.

Two prominent examples of longer-standing structural issues are: **cross-border payments**, where price is the main barrier, and **small firms' financing of digital investment**, where the barrier is access to capital.

Cross-border payments remain a persistent policy issue.⁴ And **remittances** provide a particularly striking example. According to the World Bank's most recent assessment, remittances' costs are around 6.4% of the sum sent, more than double the 3% target set under the *Sustainable Development Goals*.⁵

⁴ Demmou, L. and Q. Sagot (2021), "Central Bank Digital Currencies and payments: A review of domestic and international implications", *OECD Economics Department Working Papers*, No. 1655, OECD Publishing, Paris; <https://doi.org/10.1787/f06c0d89-en>.

⁵ <https://doi.org/10.1787/f06c0d89-en>. World Bank, *Remittance Prices Worldwide*

For migrant workers, these costs mean that a significant proportion of their income does not reach their families and communities.

More generally, **key performance indicators on cross-border payments have barely improved** since they were first measured in 2023.⁶ Persistent high costs and slow processing of cross-border payments are precisely the reason why new payment instruments are gaining traction so quickly, despite the risks involved.

The second example is linked to the **uptake of financial innovation by SMEs**. A recent OECD survey of 1000 SMEs across ten advanced economies finds that 58% of those surveyed use at least one "fully digital" fintech provider, mainly for online banking and payment processing.⁷ However, **only 2 to 4% of SMEs use fintech platforms to actually raise capital** — through peer-to-peer lending and crowdfunding.

This reflects a broader issue: SMEs face difficulties in accessing finance from the traditional financial sector (confirmed by the

⁶ FSB, G20 Roadmap for Cross-border Payments: Consolidated progress report for 2025.

⁷ Bianchini, M. and M. Lasheras Sancho (2025), "SME digitalisation for competitiveness: The 2025 OECD D4SME Survey", *OECD SME and Entrepreneurship Papers*, No. 68, OECD Publishing, Paris, <https://doi.org/10.1787/197e3077-en>. OECD (2026), "Empowering SMEs in the age of AI: The 2026 OECD D4SME Survey", *OECD SME and Entrepreneurship Papers*, No. 78, OECD Publishing, Paris, <https://doi.org/10.1787/bf5a9816-en>.

OECD's 2026 SME Financing Scoreboard). The challenge here lies in **accessing finance for investment in digital technologies**. As traditional finance struggles to provide SMEs with funding for such investment, fintech and non-bank lenders could become an alternative source.

Adoption, resilience and the role of trust

Grasping the benefits of innovation requires widespread **adoption**. Every financial innovation carries risks -- as innovations move payments (and market participants) outside the traditional, highly regulated banking and financial system. The same technologies that reduce costs and expand opportunities can also create new vulnerabilities across countries and actors. Furthermore, the same innovations that increase efficiency can generate new forms of concentration. And the same systems that broaden access can also expose users to risks that they may not fully understand.

I will focus on some of these risks for which the OECD's evidence provides some interesting insights.

People adopt new payment technologies only when they **trust** them. They need confidence that:

- their money is safe,
- their data are protected,
- fraud can be detected,
- and disputes can be resolved fairly.

Without trust, adoption remains limited and so do the potential economic benefits.

The technologies may be new, but ensuring trust and resilience rests on familiar policy objectives:

- market integrity,
- operational resilience,
- financial stability,
- and consumer protection.

Let me start with where trust breaks down fast: **market integrity**.

New payment technologies, in particular decentralized ones, can be exploited for money laundering, sanctions evasion and other illicit activities unless appropriate safeguards are in place. For example, a recent *Financial Action Task Force* (FATF) report

stated that stablecoins are increasingly used for illicit transactions, with evidence of sharp increases in recent years, and growing number of illicit actors involved.⁸

Trust also depends on things simply working: **operational resilience**.

As payment systems become more digital and interconnected, cyber-security becomes increasingly important. A major operational disruption can undermine confidence far beyond a single provider or platform. And, advancements in AI take this risk to a whole different level.

Beyond individual platforms, there's a systemic version of this risk: **financial stability**.

For example, as stablecoins grow in scale and become more interconnected with the traditional system, they raise new questions for monetary sovereignty and stability. Issuers already hold a significant share of US Treasury securities — enough to affect short-term yields and policy transmission in times of stress⁹

⁸ <https://www.fatf-gafi.org/content/dam/fatf-gafi/publications/targeted-report-on-stablecoins-and-unhosted-wallets.pdf.coredownload.inline.pdf>

⁹ Ahmed R. and I. Aldasoro, Stablecoins and safe asset prices, BIS Working Papers No 1270, 2021. <https://www.bis.org/publ/work1270.htm>

-- while their bank deposits could themselves become unstable under sudden redemption pressure. And in countries with weak or volatile currencies, foreign-currency stablecoins may crowd out the domestic currency, add volatility, and erode central banks' control over monetary policy and capital flows.¹⁰

Underlying all these issues is the most fundamental question: *can people trust that their assets are safe?* This brings me to **consumer protection**.

The 2026 OECD Consumer Finance Risk Monitor identifies fraud and scams among the most significant risks facing consumers today.¹¹ In this context, **digital literacy is becoming an integral part of financial literacy**.

The 2023 OECD International Survey of Adult Financial Literacy covering 39 economies found that **one in seven adults had experienced a financial scam or fraud**, and that **two-thirds of victims did not meet minimum benchmarks of financial literacy**. This illustrates both consumers' vulnerability and the importance

¹⁰ OECD Ecoscope, Stablecoins on the rise: A risk for financial stability?, January 2026. Altavilla, C., Boucinha, M., Burlon, L., Adalid, R., Fortes, R. and Maruhn, F. (2026), "Stablecoins and monetary policy transmission", *ECB Working Paper Series*, No. 3199. <https://www.ecb.europa.eu>.

¹¹ OECD (2026), Consumer Finance Risk Monitor 2026, OECD Publishing, Paris, <https://doi.org/10.1787/61f7dbe0-en>

of strengthening financial competence alongside consumer safeguards.¹²

But while protecting the people already using these systems is part of the challenge, **reaching those who remain entirely outside is the other.**

Financial innovation has the potential to **expand access to products and services for millions** — and for many, a mobile phone is what makes that possible for the very first time.

In low-income countries, less than half of adults hold a financial account at all. And 1.3 billion adults worldwide remain entirely unbanked -- even if nearly 900 million of them already have a mobile phone. In other words, **the infrastructure for inclusion already exists in their pocket, even if the financial account does not.**¹³

Bringing in new, “first-time” consumers of financial services, requires doubling down on financial literacy as well as on financial

¹² OECD (2023), “OECD/INFE 2023 International Survey of Adult Financial Literacy”, *OECD Business and Finance Policy Papers*, No. 39, OECD Publishing, Paris, <https://doi.org/10.1787/56003a32-en>.

¹³ World Bank, *Global Findex Database 2025*.

consumer protection, as they are likely to be particularly vulnerable in this respect.

Competition matters

There is a **second lesson** emerging from the international experience.

Trust is essential. But so is **competition**.

Competition lowers prices and drives innovation.

Digital payment systems, like other digital markets, are subject to **network effects**: the more people use a system, the more valuable -- and harder to displace -- it becomes, as scale, data, and switching costs reinforce one another.

OECD work on digital markets has documented these dynamics across the economy. In digital-intensive sectors, larger firms tend to have both higher productivity and higher mark-ups, and this relationship has strengthened over time. **Market power risks becoming entrenched**, and payments are not immune to these forces.¹⁴ Moreover, prudential regulations and supervisory

¹⁴ Calligaris et al. (2018) Mark-ups in the digital era, OECD Science, Technology and Industry Working Papers, 2018/10. <https://dx.doi.org/10.1787/4efe2d25-en>

requirements, which aim at ensuring financial stability and trust in the financial system – add to these entry barriers and can often amplify the advantages of market power.

This raises a central policy question: **how do we encourage innovation while preserving contestability?** How do we ensure today's innovators do not become tomorrow's gatekeepers?

Interoperability, open standards and appropriate data portability can help ensure that markets remain open to new entrants while preserving the benefits of large networks. This is particularly important in payments because innovation often occurs on top of existing infrastructures and networks.

The role of artificial intelligence

One technology will test that balance between innovation and contestability more than any other, artificial intelligence (AI).

The OECD has been documenting the **potential for productivity gains from widespread AI adoption** over the next decade. These appear significant – both for economies overall, but also for the financial sector. Yet, these potential gains do not come without risks.

Generative AI is already helping financial institutions automate administrative tasks, improve customer services and strengthen security, particularly by combatting money laundering, detecting fraud and reinforcing cyber-security.

At the same time, it is also equipping bad actors with increasingly sophisticated tools.

Indeed, the future of payment security may become **a race between AI-enabled fraud and AI-enabled fraud prevention.**

Supervising AI in finance is a growing challenge. AI systems evolve rapidly, are often difficult to understand — not just for supervisors, but for the institutions deploying them, a gap Markus Brunnermeier calls "*asymmetric understanding*," alongside the more familiar asymmetric information. **AI is also increasingly deployed through third-party technology providers that often fall outside the direct scope of financial supervision.** Limited information on AI adoption further complicates the assessment of risks and vulnerabilities.¹⁵

¹⁵ OECD (2026), "Supervision of artificial intelligence in finance", OECD Artificial Intelligence Papers, n. 54, January, Paris: OECD Publishing; <https://doi.org/10.1787/92743dc1-en>.

Effective oversight is essential. A recent OECD report -- prepared with the European Commission and the Bank of Italy -- highlights the need for **risk-based governance, strong cyber resilience, and closer cooperation in the oversight of third-party providers**,¹⁶

These points are consistent with the FSB's own twelve *sound practices for responsible AI adoption* published this year. These measures can help promote trustworthy AI adoption while safeguarding consumers, firms and financial stability.¹⁷

What policymakers should do

Let me conclude by stressing a set of policy actions needed to promote the benefits of the digitalization of financial systems while tackling the main risks.

First, **regulation should be technology-neutral, risk-based and proportional while ensuring interoperability.**

Regulation should respond to the risks and economic functions an activity raises, not the technology that delivers it.¹⁸ Applying this principle consistently can protect consumers and financial

¹⁶ OECD (2026), *Artificial Intelligence in Italian Financial Markets*, OECD Publishing, Paris, <https://doi.org/10.1787/6f42c977-en>.

¹⁷ Financial Stability Board (2026), "Sound Practices for Responsible Adoption of Artificial Intelligence (AI): Consultation report," 10 June 2026.

¹⁸ OECD (2020), *Financial Consumer Protection Policy Approaches in the Digital Age: Protecting consumers' assets, data and privacy*. https://www.oecd.org/content/dam/oecd/en/publications/reports/2020/12/financial-consumer-protection-policy-approaches-in-the-digital-age_dc8c14b2/3f205e60-en.pdf

stability without unnecessarily constraining beneficial innovation.¹⁹

In addition, interoperability across conventional and tokenized systems, and among tokenized systems themselves, should be a further policy priority.

Second, **address the SME financing and digitalisation gap**. One way to address this is to tackle the information asymmetry problem affecting access to capital for SMEs. In this context, **open banking frameworks** that let small firms share their transaction data —a form of digital collateral and credit history — would allow lenders to price risk on thin-file borrowers who lack a track record.²⁰

Third, **financial and digital literacy should be treated as growth and inclusion infrastructure**. Financial literacy gaps are largely correlated with low education and income, so generic campaigns may not be enough to reach out people most exposed to risk.

¹⁹ OECD (2025), "Tokenisation of assets and distributed ledger technologies in financial markets: Potential impediments to market development and policy implications", *OECD Business and Finance Policy Papers*, No. 75, OECD Publishing, Paris, <https://doi.org/10.1787/40e7f217-en>.

²⁰ Yu, T. (2025), "Open Banking for Small Business Lending," presented at the European Banking Authority Policy Research Workshop, https://www.eba.europa.eu/sites/default/files/2025-11/8888ba2f-b3b8-42f0-a3b0-cde193d063a8/2.1.tong_yu.pdf

And **financial literacy also has to keep pace with new risks**: the OECD's 2026 *framework on AI-driven financial fraud* names financial literacy explicitly as a core mitigation tool alongside technical safeguard.²¹

Fourth, **promote international cooperation and information sharing**. Payment innovation is global: what starts in one country can spread very quickly, including its risks, and no country can tackle this alone. Yet oversight of cross-border transactions remains limited, leaving risks and gaps undetected and inviting regulatory arbitrage. That's why meetings like this one matter.

Closing remarks

In closing, the history of finance shows that economies benefit when payments become faster, cheaper and more accessible.

But innovation is not enough. The benefits materialise when innovations are broadly adopted. And adoption, in turn, depends on policymakers preserving trust, resilience and competition.

²¹

OECD (2026), *Protecting Consumers from Financial Scams and Frauds*, OECD Publishing, Paris, <https://doi.org/10.1787/d41817bb-en>.

If we get those foundations right, the next generation of payment innovations can become an important source of growth and inclusion.

Thank you very much.